

BUDGET HOPES



INFRASTRUCTURE GROWTH

CONTINUED RECORD ALLOCATIONS TO RAILWAYS, ROADS, AND MARITIME SECTORS AIM TO REDUCE LOGISTICS COSTS AND BOOST DEVELOPMENT



MANUFACTURING FOCUS

EXPANSION OF PLI SCHEMES AND SUPPORT FOR EXPORT-ORIENTED SECTORS LIKE ELECTRONICS AND TEXTILES TO BOOST GLOBAL TRADE SHARE



HEALTHCARE INVESTMENTS

FOCUS ON EXPANDING PUBLIC HEALTH EXPENDITURE, INFRASTRUCTURE, AND TAX INCENTIVES TO STRENGTHEN HEALTHCARE ACCESS AND COVERAGE



CONSUMPTION REVIVAL

TARGETED TAX CUTS, RATIONALISED GST, AND AGRICULTURAL REFORMS TO TACKLE INFLATION, AND STIMULATE URBAN DEMAND



CAPITAL MARKETS REFORM

SIMPLIFYING TAXES, REDUCTION IN STT, AND EASING RULES FOR AIFs AND FPIs TO ENHANCE MARKET LIQUIDITY AND PARTICIPATION

positive momentum continue? Sandip Bansal, Senior Portfolio Manager at ASK Investment Managers, says, “Infrastructure capacity creation has been an important driver of economic growth in the recent past and is likely to remain so... We anticipate that roads, railways, and waterways will continue to receive investments.”

In addition, analysts believe that the likely approval of single-window clearance system in the upcoming Budget may help reduce delays in real estate projects, further bolstering infrastructure and realty markets. These developments are expected to increase demand for cement, iron and steel, and other construction materials, thereby enhancing valuations in these segments.

RENEWABLE ENERGY

India's commitment to achieving 500 gigawatts (GW) of renewable energy by 2030 is expected to shape the energy sector's focus in Budget 2025-26. According to Master Capital Services Director Palka Arora Chopra, the government's commitment could translate into targeted policies, incentives, and subsidies; that would further encourage investments and innovation.

In addition, the volatility in crude oil prices and related commodities is prompting an increased focus on

renewable energy. “This focus would benefit companies in solar, wind, and battery manufacturing, positioning them as significant contributors to both economic growth and sustainability,” says Chopra.

HEALTHCARE

After Covid-19, the government has made healthcare a priority in every Union Budget. It is likely to stay that way this year as well. Jain of Reliance Securities says the government may increase public health expenditure to over 2.5% of GDP. The move is expected to support the ongoing efforts to expand health infrastructure, enhance digital services, reduce compliance hurdles, and lower the GST burden for retail and health-focussed products.

The healthcare expenditure of the government has increased to 1.9% of the GDP in FY24 from 1.4% in FY18.

The rise in healthcare expenditure, according to the Federation of Indian Chambers of Commerce and Industry (FICCI), will strengthen healthcare infrastructure, ensure equitable access, and move closer to universal health coverage goals. Additionally, FICCI also recommends raising the tax exemption for preventive health check-ups under Section 80D to ₹20,000 from